

Small benefit exemption memo

AIBN CHARTERED ACCOUNTANTS · MEMO · JULY 2026

For 2026 an Irish employer can give each employee or director up to five non-cash benefits in the year, with a combined value of no more than EUR 1,500, with no income tax, USC or PRSI arising. The rules are strict: the benefit cannot be cash or cash-redeemable, cannot come out of salary sacrifice, only the first five in the year count, and unused allowance is lost at year end. Every qualifying benefit must be reported to Revenue under Enhanced Reporting Requirements on or before the date it is given.

The 2026 position: five benefits, EUR 1,500

For 2026, an employer may provide up to five qualifying non-cash benefits to an employee in the tax year, provided the cumulative value of those benefits does not exceed EUR 1,500. No income tax, USC or PRSI arises on them. The relief sits in section 112B of the Taxes Consolidation Act 1997.

These figures have moved more than once, so older advice is easy to get wrong. From 22 October 2015 to 31 December 2019 the exemption covered one benefit worth up to EUR 500. From 2020 to 2021 the limit stayed at EUR 500, with a Revenue concession during COVID allowing two benefits. From 1 January 2022 to 31 December 2024 it was two benefits with a combined value of up to EUR 1,000. The current five benefit, EUR 1,500 position was introduced by section 8 of Finance Act 2024 and applies for the 2025 year of assessment and each subsequent year.

The 2026 figures are unchanged from 2025. The Revenue Budget 2026 summary, published on 7 October 2025, contains no change to the small benefit exemption, and Finance Act 2025 does not amend section 112B. Revenue's own guidance page for employees, published on 13 May 2026, still states five benefits up to EUR 1,500 in total.

One date is worth putting in the diary. Finance Act 2024 also inserted section 112B(3), which provides that the section ceases to have effect for the 2030 year of assessment and later years. On the law as it currently stands, 2029 is the last year in which the exemption is available, unless a future Finance Act extends it.

- 2026 (and 2025 to 2029): up to 5 benefits, cumulative value up to EUR 1,500
- 2022 to 2024: up to 2 benefits, cumulative value up to EUR 1,000
- 2020 to 2021: EUR 500 limit, 2 benefits allowed under a COVID concession
- 22 October 2015 to 31 December 2019: 1 benefit, up to EUR 500

The conditions, and how easily they are broken

The exemption is all or nothing on each benefit, and the conditions are applied strictly. The benefit must not be cash. Revenue defines a benefit for this purpose as a tangible asset other than cash. A voucher qualifies only if it can be used solely to buy goods or services and cannot be redeemed, in full or in part, for cash. Revenue's published example makes the point sharply: a gift card that can be inserted into a cash machine to withdraw money fails the test, and it fails even if the employee never actually withdraws cash from it.

The benefit cannot form part of a salary sacrifice arrangement, meaning any arrangement where the employee gives up part of the pay due under their contract in return for the benefit. Revenue's examples include an employee who agreed to a EUR 1,000 salary reduction in return for a EUR 500 annual voucher, and a dismissed employee who accepted a EUR 500 voucher in part settlement of unpaid salary. In both cases the exemption was lost and income tax, USC and PRSI had to be operated on the cost of the voucher.

Only the first five benefits given in the year can qualify, and the test is cumulative. Each successive benefit qualifies only if the running total of all benefits given so far that year, including the one being given, stays within EUR 1,500. Once that total is exceeded, the benefit that breaches the limit and every later benefit in the same year are taxable, because the breaching benefit stays in the cumulative total and no headroom remains. Worked through: a EUR 1,400 benefit qualifies; a following EUR 200 benefit fails at a cumulative EUR 1,600; a further EUR 50 benefit also fails at EUR 1,650. A sixth benefit cannot qualify at all, no matter how small, and no matter how much headroom is left in the EUR 1,500. Importantly, the legislation does not let the employer choose which benefits get the exemption. You cannot deliberately tax a small benefit given in March in order to preserve the exemption for a larger voucher in December.

A single benefit can use the whole EUR 1,500. But if one benefit exceeds EUR 1,500, the full value of that benefit is taxable, not just the excess over EUR 1,500. Unused allowance cannot be carried forward, so an employer who gives EUR 800 of benefits in 2026 does not start 2027 with EUR 2,200 available.

There is one small piece of administrative relief. Where an employer incurs minor fees or postage costs in buying vouchers, Revenue will not count those nominal costs towards the EUR 1,500 threshold. If the exemption does not apply for some other reason, however, those costs must be added into the value on which tax is calculated.

What it costs the company, and what it saves

Where all the conditions are met, no charge to tax arises on the employee. There is no income tax, no USC and no PRSI, and nothing goes through payroll as notional pay. The employee receives the full face value.

Where the conditions are not met, the employer must operate income tax, USC and PRSI on the cost of providing the benefit through payroll in the normal way. The exposure falls on the employer,

because the employer is the party required to deduct.

On the employer side, the cost of providing staff benefits is an employment cost of the business. It is deductible in computing trading profits under the general rule in section 81 of the Taxes Consolidation Act 1997, which allows a deduction for sums wholly and exclusively laid out for the purposes of the trade. For a trading company that means relief at the 12.5 per cent corporation tax rate. Revenue does not publish a statement dealing specifically with the deductibility of small benefit exemption vouchers, so the position rests on the general rule rather than on a targeted concession.

The contrast with cash is the reason the relief is used so widely. A EUR 1,500 cash bonus is pay. It attracts income tax at the employee's marginal rate, USC and employee PRSI, and it also attracts employer PRSI on top. A qualifying non-cash benefit of the same value delivers the full EUR 1,500 to the employee and still gives the company a deduction against trading profits.

The reporting obligation under Enhanced Reporting Requirements

Since 1 January 2024, giving a small benefit tax free is no longer something an employer can simply record internally. Section 897C of the Taxes Consolidation Act 1997, inserted by section 9 of Finance Act 2022, requires employers to report three categories of tax free items to Revenue. These are the EUR 3.20 remote working daily allowance, travel and subsistence payments, and small benefit exemption benefits. The obligation was commenced by S.I. No. 635 of 2023 with effect from 1 January 2024, and S.I. No. 1 of 2024 prescribes the form and particulars.

For a small benefit, the reportable details are the value of the benefit and the date it was provided to the employee. The report must be made on or before the date the benefit is provided, in real time. There is no month end or year end catch up filing for this. In practice this means the employer has to decide, before handing over the voucher, whether it qualifies. If it does, the employer reports it under Enhanced Reporting Requirements. If it does not, the employer taxes it through payroll instead.

Submissions can be made through ROS using the online form, a file upload, or an API, and employers already have access under their existing ROS certificates. Agents who are not financial agents need to apply for Enhanced Reporting Requirements permissions separately. Employees can see what has been reported for them in myAccount under Expenses and Benefits.

The practical risk for a small company is timing rather than tax. The benefit itself is exempt, so a missed report does not create a tax liability on the voucher, but it does leave the company outside a statutory filing obligation and visible to Revenue as a non-filer. The simplest fix is to treat the voucher order and the Enhanced Reporting Requirements submission as a single step in the payroll calendar rather than as separate tasks.

Directors of owner-managed companies

Directors can use the exemption. The benefit in kind provisions in Part 5 of the Taxes Consolidation Act 1997 apply to both employees and company directors, and Revenue's guidance and reporting

systems treat employees and directors together throughout. For an owner-manager who is a director of their own company, a qualifying voucher of up to EUR 1,500 across up to five benefits can be provided on the same terms as for any other member of staff.

Revenue's Enhanced Reporting Requirements guidance deals expressly with the case where a director is not on the payroll. In that situation the employer creates a unique identifier, known as an Employer Reference, and submits the benefit details to Revenue against that reference. So a non payrolled director is not outside the reporting net.

There is a separate rule that causes confusion here and it is worth separating out. A general de minimis rule in section 116(3)(a) of the Taxes Consolidation Act 1997 means benefits in kind are usually not taxable where an employee's total remuneration is under EUR 1,905 in the year, and that de minimis rule does not apply to directors. A director is taxable on benefits in kind regardless of their level of remuneration. That is a different provision. It does not cut a director out of the small benefit exemption.

Because the exemption is expressed as applying to an employee in a year of assessment, the entitlement is per person. A spouse or family member who is a genuine employee or director of the company, properly on the payroll and doing real work, has their own separate entitlement. The employment needs to be genuine and documented, because the benefit has to be given by reason of the employment or office and not as a disguised distribution to a shareholder.

Common mistakes that void the exemption

Most failures are avoidable and come down to a handful of recurring errors. The common thread is that the exemption is tested benefit by benefit, in the order the benefits are given, and there is no ability to fix it after the fact.

- Paying cash, or crediting the amount to the employee's bank account, instead of providing a non-cash benefit.
- Using a gift card or prepaid card that can be redeemed for cash in whole or in part, including a card that works in a cash machine. This voids the exemption even if the cash facility is never used.
- Providing the voucher in place of salary or a bonus that is already contractually due, which makes it a salary sacrifice arrangement.
- Using a voucher to settle a pay dispute or unpaid wages, which Revenue treats as salary sacrifice.
- Giving a sixth benefit in the year. It cannot qualify regardless of how little of the EUR 1,500 has been used.
- Letting the running total tip over EUR 1,500. The benefit that breaches the limit fails, and so does every later benefit that year, even though the earlier ones were fine.
- Giving one benefit worth more than EUR 1,500. The entire value becomes taxable, not just the

excess.

- Trying to tax small early benefits deliberately so the exemption can be saved for a larger December voucher. The legislation does not permit the employer to select which benefits the exemption applies to.
- Assuming unused allowance carries into the next year. It does not.
- Missing the Enhanced Reporting Requirements submission, or filing it after the benefit has already been handed over. The deadline is on or before the date the benefit is provided.
- Assuming directors are excluded because the EUR 1,905 de minimis rule does not apply to them. That is a separate provision and does not restrict the small benefit exemption.
- Forgetting that where the exemption fails, delivery and postage costs must be brought into the taxable value, even though they are ignored while the exemption applies.

Key figures at a glance

Item	2026 position	Notes
Annual cumulative limit, 2026	EUR 1,500	Applies from 1 January 2025 onward. Confirmed unchanged for 2026 by Revenue guidance published 13 May 2026 and by the absence of any amendment in Finance Act 2025.
Maximum number of qualifying benefits per year, 2026	5	Revenue Tax and Duty Manual Part 05-01-01e, summary table at paragraph 2.1: 1 January 2025 to 31 December 2029, maximum 5 incentives, cumulative value EUR 1,500.
Previous limit, 2022 to 2024	EUR 1,000 across up to 2 benefits	
Limit 2020 to 2021	EUR 500, 2 benefits under COVID concession	Statutory position was 1 benefit of EUR 500; Revenue concessionally allowed 2 for 2020 and 2021.
Limit 22 October 2015 to 31 December 2019	EUR 500, 1 benefit	
Governing legislation	Section 112B, Taxes Consolidation Act 1997	
Act making the 2025 change	Section 8, Finance Act 2024	Section 8(2) states the new definition applies for the year of assessment 2025 and each subsequent year. Note: some secondary commentary wrongly attributes this to Finance Act 2025.

Item	2026 position	Notes
Sunset date for the exemption	Ceases to have effect for the year of assessment 2030 and later years	Section 112B(3), inserted by section 8(1)(b) Finance Act 2024. 2029 is the last available year on current law.
Tax treatment of a qualifying benefit	No income tax, no USC, no PRSI	Revenue TDM Part 05-01-01e, Example 7: employee has no liability to IT, USC or PRSI on five benefits totalling EUR 1,475.
Treatment where conditions are not met	Income tax, USC and PRSI chargeable on the cost, operated by the employer through payroll	
Single benefit exceeding the limit	If one benefit exceeds EUR 1,500, the full value is taxable, not just the excess	
Carry forward of unused allowance	Not permitted	
Employer corporation tax deduction	Deductible as a trading expense under the wholly and exclusively rule, section 81 TCA 1997, relieved at 12.5 per cent for a trading company	General rule only. Revenue publishes no small benefit exemption specific statement on corporation tax deductibility.
ERR statutory basis	Section 897C TCA 1997, inserted by section 9 Finance Act 2022	
ERR commencement date	1 January 2024	Commenced by S.I. No. 635 of 2023, Finance Act 2022 (Section 9) (Commencement) Order 2023.
ERR reporting deadline for a small benefit	On or before the date the benefit is provided to the employee	
ERR reportable details for a small benefit	Value of the benefit and the date it was provided	Prescribed by S.I. No. 1 of 2024, Income Tax (Employments) Regulations 2024.
The three ERR reportable categories	Remote working daily allowance of EUR 3.20, travel and subsistence payments, small	

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	benefit exemption	
Directors not on payroll	Employer reports using a unique Employer Reference identifier	Frequently Asked Questions, question 6 of the appendix to TDM Part 38-03-33.
Benefit in kind rules apply to directors	Yes, Part 5 Chapter 3 TCA 1997 applies to both employees and company directors	TDM Part 05-01-01a, paragraph 3.1.2. Document last reviewed May 2026.
Separate de minimis rule that does not apply to directors	EUR 1,905 total remuneration threshold, section 116(3)(a) TCA 1997	Distinct from the small benefit exemption. A director is taxable on BIK regardless of remuneration level.
Definition of a qualifying benefit	A tangible asset other than cash, or a voucher usable only to buy goods or services and not redeemable in whole or part for cash	
Minor fees and postage on vouchers	Ignored for the EUR 1,500 threshold where the exemption applies; included in the taxable value where it does not	
Budget 2026 change to the exemption	None	Revenue Budget 2026 Summary, published 7 October 2025, contains no small benefit exemption measure.

Before you rely on this

- The exemption is legislated to end. Section 112B(3), inserted by Finance Act 2024, provides that the section ceases to have effect for the year of assessment 2030 and later years. Any advice about multi-year reward planning should flag that 2029 is currently the last available year unless a future Finance Act extends it.
- Budget 2027 is expected in October 2026, within months of this memo. The EUR 1,500 and five benefit figures are the confirmed 2026 position, but should be re-checked against the Budget 2027 announcement and the resulting Finance Act before the memo is relied on for 2027 planning.
- Revenue Tax and Duty Manual Part 05-01-01e, the primary detailed source used here, is dated February 2025. It should be re-checked for a later revision before publication. The related manuals are more recent: Part 38-03-33 was updated October 2025 and Part 05-01-01a was last reviewed May

2026.

- The corporation tax deduction point rests on the general wholly and exclusively rule in section 81 TCA 1997, not on any small benefit exemption specific Revenue guidance. It is stated at medium confidence. It should be reviewed separately for non-trading or investment holding companies, where the 25 per cent rate rather than the 12.5 per cent trading rate would be relevant.
- Revenue confirms that no income tax, USC or PRSI arises on a qualifying benefit. The statement in the memo that employer PRSI is also avoided follows from that treatment rather than from a separately sourced Department of Social Protection statement, and should be confirmed if the memo quantifies an employer PRSI saving.
- There is an internal inconsistency in Revenue's own guidance on whether a non-qualifying benefit must be reported under ERR. Paragraph 4 of TDM Part 05-01-01e states the reporting obligation applies where the exemption applies, but Example 8 in the same manual states that a sixth, taxable voucher must also be reported to Revenue in real time. Taxable benefits would normally go through payroll instead. Confirm the intended treatment with Revenue before advising a client who has exceeded five benefits.
- The statement that a spouse or family member who is a genuine employee or director has a separate EUR 1,500 entitlement follows from section 112B applying per employee per year of assessment, rather than from an explicit Revenue example. The employment must be genuine and documented, and the benefit must be given by reason of the employment or office rather than as a disguised distribution to a shareholder.
- Cross-check against the firm's verified 2026 figures: nothing in the sources fetched for this memo contradicts them. The Revenue Budget 2026 Summary independently confirms the income tax bands (EUR 44,000 single, EUR 53,000 married one income, plus up to EUR 35,000 for a second income), the credits (personal EUR 2,000 single and EUR 4,000 married, Employee Tax Credit EUR 2,000, Earned Income Tax Credit EUR 2,000), the USC bands (0.5 per cent to EUR 12,012, 2 per cent to EUR 28,700, 3 per cent to EUR 70,044, 8 per cent above), and the R&D credit increase to 35 per cent. It also notes a change not in the firm's list: revised entrepreneur relief lifetime limit rises from EUR 1 million to EUR 1.5 million for disposals on or after 1 January 2026. The PRSI rates, pension age bands and cap, corporation tax rates and CGT rate and exemption were outside the scope of the sources fetched here, so they were neither confirmed nor contradicted by this research.
- Widely circulated secondary commentary incorrectly attributes the five benefit, EUR 1,500 change to Finance Act 2025. It was made by section 8 of Finance Act 2024. Finance Act 2025 (Number 18 of 2025) contains no reference to section 112B, small benefits, qualifying incentives or section 897C. Do not repeat the incorrect attribution in the published memo.

Sources

Revenue: Small Benefit Exemption (employer guidance) — <https://www.revenue.ie/en/employing-people/benefit-in-kind-for-employers/valuation-of-benefits/small-benefit-exemption.aspx>

Revenue Tax and Duty Manual Part 05-01-01e: The Small Benefit Exemption (February 2025) — <https://www.revenue.ie/en/tax-professionals/tdm/income-tax-capital-gains-tax-corporation-tax/part-05/05-01-01e.pdf>

Revenue Tax and Duty Manual Part 38-03-33: Returns by Employers in Relation to Reportable Benefits, Enhanced Reporting Requirements (October 2025) — <https://www.revenue.ie/en/tax-professionals/tdm/income-tax-capital-gains-tax-corporation->

tax/part-38/38-03-33.pdf

Revenue Tax and Duty Manual Part 05-01-01a: Introduction to the taxation and valuation of employer provided benefits (last reviewed May 2026) — <https://www.revenue.ie/en/tax-professionals/tdm/income-tax-capital-gains-tax-corporation-tax/part-05/05-01-01a.pdf>

Irish Statute Book: Finance Act 2024, section 8, Amendment of section 112B of Principal Act (granting of vouchers) — <https://www.irishstatutebook.ie/eli/2024/act/43/section/8/enacted/en/html>

Irish Statute Book: Finance Act 2025 (Number 18 of 2025), full text, no amendment to section 112B — <https://www.irishstatutebook.ie/eli/2025/act/18/enacted/en/print.html>

Irish Statute Book: Taxes Consolidation Act 1997, section 81, General rule as to deductions — <https://www.irishstatutebook.ie/eli/1997/act/39/section/81/enacted/en/html>

Revenue: Budget 2026 Summary (published 7 October 2025) — <https://www.revenue.ie/en/corporate/press-office/budget-information/current-year/budget-summary.pdf>

Revenue: Non-taxable employer benefits (employee guidance, published 13 May 2026) — <https://www.revenue.ie/en/jobs-and-pensions/taxation-of-employer-benefits/non-taxable-employer-benefits.aspx>

Revenue: Enhanced Reporting Requirements, Information you need to report — <https://www.revenue.ie/en/employing-people/becoming-an-employer-and-ongoing-obligations/err-jan-2024/information-you-need-to-report.aspx>

Revenue: What is benefit in kind (BIK)? — <https://www.revenue.ie/en/employing-people/benefit-in-kind-for-employers/what-is-benefit-in-kind/index.aspx>

Revenue eBrief No. 038/25 (12 February 2025): Small Benefit Exemption — <https://www.revenue.ie/en/tax-professionals/ebrief/2025/no-0382025.aspx>

Citizens Information: Taxation of benefits from employment — <https://www.citizensinformation.ie/en/money-and-tax/tax/income-tax/taxation-of-benefits-from-employment/>

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